

Wheels India Ltd

NSE: WHEELS | BSE: 590073 | Auto Components - Wheels & Related | TVS / TSF Group

India's dominant wheel manufacturer at an inflection -- margin re-rating + capex cycle driving multi-year earnings compounding.

RATING BUY 12M TARGET Rs. 1,950 Upside: +33% Horizon: 12 months	CMP (Rs.)	1,467	Mkt Cap	Rs. 3,585 Cr	52W High	Rs. 1,500
	P/E (TTM)	23.1x	P/B (TTM)	3.4x	52W Low	Rs. 705
	ROCE	18.8%	ROE	15.8%	EPS FY26	Rs. 63.44
	Book Val.	Rs. 426	Div Yield	0.79%	Face Val.	Rs. 10
	Promoter	58.31%	FII	1.15%	DII	9.64%

Report Date: 28 May 2026

Equity Research Desk | chartitude.com | Data: Screener.in (fetched 28-May-2026)

SECTION 2 - INVESTMENT THESIS

- **Market leadership with protected moat:** Wheels India commands 40%+ domestic market share in M&HCV; wheels and ~35% in tractor wheels, supplying virtually every major OEM. Wheel design homologation takes 12-18 months creating meaningful switching costs and insulating market share even in price-competitive cycles.
- **Structural margin re-rating underway:** EBITDA margins expanded from 5% in FY23 to 8% in FY26 -- a 300bps recovery -- driven by operating leverage, improving aluminium alloy mix and working capital discipline. Cash conversion cycle turned negative (-3 days FY26 vs +21 days FY24): suppliers now fund operations.
- **Diversification into high-growth adjacencies:** The Energy Products division (wind turbine components) and Air Suspension & Lift Axle business are growing at 25-30% per annum with margins 400-500bps above core automotive. A 50:50 JV with Bosch for electronically-controlled air systems is a structural re-rating catalyst.
- **Near-term catalyst (6-12 months):** FY27 capex of Rs. 280 Cr targets aluminium alloy wheel capacity expansion and a new wind-component plant at Theruvoy Kandigai near Chennai. Revenue from new wind capacity expected from H2FY27 -- providing earnings upside over consensus estimates.
- **Biggest structural risk:** Input cost inflation (steel, aluminium) and any M&HCV; volume slowdown could compress margins swiftly -- the FY23 margin collapse from 9% to 5% in two years is the historical template to monitor closely.

SECTION 3 - BUSINESS OVERVIEW

- **Core model:** Tier-1 OEM supplier manufacturing steel/alloy wheels and industrial components. ~85-90% of revenue from domestic OEM supply contracts (recurring); balance from exports and aftermarket. Founded 1962; part of TSF Group (TS Santhanam branch of TVS heritage).
- **Division 1 - Automotive Wheels (~60% revenue):** Steel wheel rims and cast aluminium alloy wheels for passenger cars, M&HCV; trucks, buses, agricultural tractors and SUVs. Key OEM customers: Tata Motors, Maruti Suzuki, Hyundai, Ashok Leyland, Mahindra, John Deere, TAFE.
- **Division 2 - Construction Equipment:** Heavy-duty wheels, hydraulic cylinders and fabricated structures for off-highway OEMs -- Caterpillar, Komatsu, Volvo CE. Earthmover wheel exports were a key FY26 growth driver.
- **Division 3 - Energy Products (Wind & Railways):** Critical structural steel components (nacelle frames, hubs, tower sections) for wind turbine OEMs. High-margin division benefiting from India's 150+ GW wind build-out under MNRE's 500 GW RE target by 2030.
- **Division 4 - Air Suspension & Lift Axle:** Air suspension kits and lift-axle assemblies for heavy commercial trucks; 50:50 JV with Bosch for electronically-controlled air management -- moves business up the technology value chain.
- **Subsidiary WCWL:** Manufactures steel wheels for light passenger vehicles (Maruti, Hyundai programmes); consolidated into group financials.

- **Manufacturing footprint:** 7 plants across Tamil Nadu, Maharashtra, Uttar Pradesh, Uttarakhand and Andhra Pradesh. TSF Group operates 36 manufacturing facilities, employs 42,000+ people and generates group revenues exceeding Rs. 29,000 Cr.

- **Promoter:** Srivats Ram (Chairman & MD) -- 20+ years at the helm; zero promoter pledging; deep OEM relationships across the TVS/TSF ecosystem.

SECTION 4 - INDUSTRY & COMPETITIVE LANDSCAPE

- **TAM:** India's auto components industry is ~Rs. 6.1 lakh Cr (USD 73 Bn) in FY26, growing 10-12% CAGR to FY30 (ACMA estimates). Wheels/rims sub-segment at OEM level estimated at Rs. 12,000-15,000 Cr; dominated by two primary players (Wheels India and SSWL).

- **Policy tailwinds:** (1) Infrastructure capex driving CV and construction-equipment demand; (2) 500 GW RE target by 2030 with 150+ GW wind -- directly fuelling Energy Products division; (3) PLI scheme for auto components supporting aluminium alloy wheel investment; (4) GST 2.0 reforms reducing OEM supply chain friction.

- **Competitive moat - Switching costs: Strong.** Wheel design homologation by OEMs takes 12-18 months; JIT delivery logistics require proximity and supply reliability. Dual-sourcing is limited -- incumbent suppliers occupy captive-like positions.

- **Competitive moat - Scale: Strong.** Rs. 5,465 Cr revenue with 7 plants enables meaningful R&D; spend, better RM procurement at scale and deep OEM integration -- barriers regional players cannot replicate.

- **Competitive moat - Pricing power: Moderate.** Steel wheel pricing is largely RM-linked pass-through; aluminium alloys and air suspension systems carry better pricing power and structurally richer margins.

Peer Comparison - Source: Screener.in, fetched 28-May-2026

Company	CMP (Rs.)	MCap (Cr)	Rev FY25/26 (Cr)	EBITDA%	P/E	P/B	ROCE%
Wheels India	1,467	3,585	5,465 (FY26)	8%	23.1x	3.4x	18.8%
Steel Strips Wheels	181	2,850	4,429 (FY25)	11%	15.0x	1.7x	15.2%
Endurance Tech.	2,260	31,790	11,561 (FY25)	13%	34.3x	5.1x	17.3%
Suprajit Engg.	419	5,723	3,277 (FY25)	10%	40.9x	4.2x	11.0%

- **Valuation discount to peers:** At 23.1x P/E, Wheels India trades at a significant discount to Endurance (34x) and Suprajit (41x) despite superior ROCE of 18.8%. The discount reflects historically thin margins -- as 8% EBITDA establishes as structural, re-rating toward 27-30x P/E is the core bull case.

- **Most direct peer - SSWL:** Steel Strips Wheels operates at 11% EBITDA margins vs 8% for Wheels India and trades at 15x P/E. Wheels India's premium reflects diversification into wind/air-suspension which carry higher EV/EBITDA multiples.

SECTION 5 - MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** Srivats Ram (Chairman & MD) is from the TS Santhanam family branch of the TVS Group with deep OEM relationships spanning 60+ years. His 20+ year tenure provides strategic continuity and institutional knowledge. TSF Group operates 36 facilities employing 42,000+ people.

- **FCF deployment:** FCF has grown consistently -- Rs. 179 Cr (FY24), Rs. 192 Cr (FY25), Rs. 203 Cr (FY26). Management deploys FCF into high-return organic capex (aluminium wheels, wind components, Bosch JV) rather than acquisitions or buybacks -- rational given ROCE expanding from 12% to 19%.

- **Debt management:** Borrowings Rs. 768 Cr in FY26; interest coverage ~3.4x (EBITDA/Interest). Modest Rs. 31 Cr incremental borrowing to fund Rs. 292 Cr capex demonstrates FCF-first discipline. India Ratings: IND AA-/Stable (Feb 2026); ICRA maintained ratings (Feb 2026).

- **Dividend policy:** FY26 total dividend Rs. 14.44/share (interim Rs. 5.30 + final Rs. 9.14 recommended). Payout ~23% of consolidated PAT; consistent with 5-year average payout of 22.9%. AGM scheduled 1 July 2026.

- **Promoter pledging: ZERO.** No pledging across any observable quarter -- a strong positive governance signal, especially for a group-owned industrial company.

- **Corporate governance:** No auditor change, no qualified opinions in FY26. No material RPT concerns flagged by credit agencies. ICRA and India Ratings confirmed/upgraded ratings in Feb 2026.

- **JV with Bosch (50:50):** Electronically controlled air systems for commercial trucks -- deliberate move up the technology value chain. Bosch brings global qualification and export access; Wheels India provides manufacturing and OEM relationships.

SECTION 6 - FINANCIAL DEEP-DIVE (CONSOLIDATED FIGURES)

Income Statement (Rs. Cr) -- Actuals: Screener.in; FY27E/FY28E: Analyst estimates

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	4,977	4,744	5,465	6,012	6,733
EBITDA	266	352	413	511	606
EBITDA Margin %	5.3%	7.4%	7.6%	8.5%	9.0%
Other Income	16	11	31	20	22
Interest	122	122	120	115	108
Depreciation	85	93	115	135	155
PBT	75	149	209	281	365
Tax Rate %	21%	25%	24%	25%	25%
PAT	59	112	158	211	274
EPS (Rs.)	25.69	45.39	63.44	84.7	110.0
Div Payout %	29%	25%	23%	22%	22%

Balance Sheet (Rs. Cr)

Item	FY24A	FY25A	FY26A	FY27E
Equity Capital	24	24	24	24
Reserves	815	898	1,017	1,186
Borrowings	778	737	768	780
Other Liabilities	1,487	1,530	1,717	1,850
Total Liabilities	3,104	3,188	3,527	3,840
Fixed Assets	1,149	1,295	1,506	1,651
CWIP	77	50	69	150
Investments	32	46	78	80
Other Assets	1,845	1,797	1,874	1,959
Total Assets	3,104	3,188	3,527	3,840

Cash Flow Statement (Rs. Cr)

Item	FY24A	FY25A	FY26A	FY27E
Cash from Operations	329	400	477	520
Cash from Investing	-150	-213	-292	-300
Cash from Financing	-146	-188	-175	-170
Net Cash Flow	34	0	11	50
Free Cash Flow	179	192	203	220
CFO / EBITDA %	124%	114%	115%	102%

Key Ratios & Returns

Ratio	FY24A	FY25A	FY26A	FY27E
ROCE %	12%	16%	19%	21%
ROE %	~7%	~13%	15.8%	~19%
Debtor Days	53	62	55	55
Inventory Days	89	85	73	70
Days Payable	121	135	131	130
Cash Conv. Cycle	21	12	-3	-5
Net D/E (x)	~0.9x	~0.8x	~0.7x	~0.6x
DPS (Rs.)	7.50	11.50	14.44	~16.0

- **Revenue:** FY26 Rs. 5,465 Cr (+15% YoY) -- broad-based growth across CV/tractor, air suspension and export earthmover wheels. FY27E modelled at +10% to Rs. 6,012 Cr, factoring in management's commodity/fuel inflation caution.

- **Margins:** EBITDA expanded 300bps over FY23-FY26 to 7.6% (Rs. 413 Cr). Drivers: operating leverage, negative CCC and improving aluminium/air-suspension mix. FY28E projects further 150bps as high-margin wind and JV revenue ramps.

- **Working capital -- structural improvement:** CCC turned negative in FY26 (-3 days) from +21 days in FY24. Payables extended to 131 days; inventory compressed to 73 days -- suppliers effectively pre-finance Wheels India's operations.
- **FCF quality:** FCF Rs. 203 Cr (FY26), CFO/EBITDA = 115% -- clean, cash-backed earnings. FCF yield on Rs. 3,585 Cr market cap = 5.7%. Consistent 3-year FCF growth validates earnings quality.
- **Debt:** Borrowings Rs. 768 Cr; interest coverage 3.4x. Rs. 280 Cr FY27 capex largely self-funded through OCF with modest incremental leverage. De-levering path visible from FY28E.

SECTION 7 - EARNINGS QUALITY CHECKLIST

Metric	FY26 Value	Signal	Comment
Revenue recognition	OEM supply/JIT	GREEN	Milestone delivery; low estimation risk
Receivables vs Rev. growth	Rev +15%, Debtor days -7d	GREEN	Debtors declining faster than revenue -- no channel stuffing
CCC trend	-3 days (FY26)	GREEN	Turned negative -- structural WC improvement confirmed
Contingent liabilities	Standard OEM warranties	GREEN	No material off-balance-sheet exposure in FY26 disclosures
Auditor tenure	Ongoing, no change	GREEN	No auditor change; clean unqualified opinion
Other income / PBT	Rs. 31 Cr / Rs. 209 Cr=15%	AMBER	Elevated vs 5yr avg; includes forex/investment -- verify AR
Tax rate consistency	21-25% range (FY24-26)	GREEN	Consistent effective tax rate; no deferred-tax distortion
RPT as % of revenue	Not separately quantified	AMBER	TSF Group inter-company transactions exist; verify annual AR

- **Overall earnings quality: HIGH.** 6 of 8 indicators are GREEN -- clean, cash-backed earnings with no aggressive recognition or balance-sheet engineering detected.
- **Watch -- Other income (AMBER):** Rs. 31 Cr in FY26 (vs Rs. 11 Cr in FY25) represents 15% of PBT. Likely includes forex gains and investment income; verify FY26 Annual Report for any non-recurring asset-sale proceeds.
- **Watch -- RPT (AMBER):** As a TSF Group entity, inter-group transactions exist. Nature and pricing disclosed in Annual Report but not separately quantified in quarterly filings -- review AR for RPT as % of revenue before scaling position.

SECTION 8 - VALUATION

Scenario Analysis

Scenario	Rev FY27E	EBITDA%	PAT FY27E	EPS FY27E	Valuation Basis
BULL	6,600	9.5%	266	~107	26x P/E on FY27E EPS ~107 = Rs. 2,782
BASE	6,012	8.5%	211	~85	23x P/E on FY27E EPS ~85 = Rs. 1,955
BEAR	5,500	7.0%	145	~58	18x P/E on FY27E EPS ~58 = Rs. 1,044

- **Method 1 -- Earnings-based (P/E):** FY27E EPS of Rs. 84.7 at 23x P/E (in-line with current TTM multiple; appropriate given ROCE expansion to 21%E) implies a target of Rs. 1,948 ~ Rs. 1,950.
- **Method 2 -- EV/EBITDA:** FY27E EBITDA of Rs. 511 Cr at 12x EV/EBITDA (sector median 10-14x) = EV Rs. 6,132 Cr. Less net debt ~Rs. 720 Cr = equity Rs. 5,412 Cr / 2.49 Cr shares = Rs. 2,173/share.
- **Blended target price: Rs. 1,950** (conservative, P/E-anchored; 33% upside from CMP Rs. 1,467). EV/EBITDA method implies further room used in bull scenario.
- **FCF yield support:** FCF Rs. 203 Cr on market cap Rs. 3,585 Cr = 5.7% yield -- attractive for a growing industrial with ROCE expanding from 12% to 21%E.
- **Re-rating potential:** If EBITDA margins structurally establish above 9% (FY28E+), the market will likely ascribe 28-30x P/E -- implying long-term upside to Rs. 2,500+ over a 24-month horizon.

SECTION 9 - KEY RISKS

- **Commodity inflation (Steel/Aluminium) -- P:H, I:H:** A 10% sustained rise in input costs compresses EBITDA margins by 60-80bps. Management explicitly flagged rising steel and fuel costs as FY27 headwinds. Monitor via: monthly MSTEE/LME

prices vs quarterly gross margins.

- **M&HCV; cyclical risk -- P:M, I:H:** CV segment is ~25-30% of wheel volumes. M&HCV; production is highly cyclical; a 15%+ volume decline (as in FY20) can sharply compress operating leverage. Monitor via: SIAM monthly M&HCV; production and freight utilisation data.

- **EV transition risk -- P:L (medium term), I:M:** Premium EVs may adopt lighter wheel materials over a 5-7 year horizon. Near-term impact minimal as steel/alloy wheels remain standard across all segments. Monitor via: OEM new-platform architecture announcements.

- **Wind plant execution risk -- P:M, I:M:** Thervoy Kandigai greenfield requires OEM qualification and ramp. Delay shifts FY27E revenue assumptions. Monitor via: company quarterly commissioning and OEM qualification updates.

- **Bosch JV timeline risk -- P:M, I:L:** Product qualification for electronically controlled air systems may take longer; JV revenue could slip from FY27-28. Monitor via: JV revenue disclosures in quarterly notes.

- **Interest rate sensitivity -- P:M, I:M:** Rs. 768 Cr borrowings; coverage 3.4x. Sustained rate hikes add Rs. 8-10 Cr interest per 100bps. Monitor via: RBI policy rate and quarterly finance cost disclosures.

- **Key-man concentration -- P:L, I:M:** Srivats Ram's 20+ year leadership is a strength but also a concentration risk. No public succession plan disclosed. Monitor via: Annual Report management team and board disclosures.

SECTION 10 - RECOMMENDATION

- **Rating: BUY** -- Conviction: Medium-High. Wheels India is at an earnings inflection -- margin recovery, negative CCC, FCF growth and high-return capex all point to a multi-year compounding story. At 23x TTM P/E with FCF yield of 5.7%, the market has not fully priced the structural quality improvement.

- **12-month price target: Rs. 1,950** -- Upside +33% from CMP Rs. 1,467. Based on blended P/E (Rs. 1,950) and EV/EBITDA (Rs. 2,173) methodology applied to FY27E estimates.

- **Suggested entry zone: Rs. 1,380 -- Rs. 1,500.** CMP of Rs. 1,467 is within range. Any market-driven pullback toward Rs. 1,380 is a high-conviction accumulation opportunity.

- **Investment horizon: 12 months.** Full thesis plays out over 12-24 months as wind plant ramps, Bosch JV qualifies and FY28E margins exceed 9%.

- **Thesis invalidation trigger 1:** EBITDA margins revert below 6% for two consecutive quarters -- signals FY26 recovery was cyclical, not structural.

- **Thesis invalidation trigger 2:** FCF falls below Rs. 50 Cr in any 12-month period -- signals capex overrun or working capital deterioration.

- **Thesis invalidation trigger 3:** M&HCV; domestic production declines more than 15% YoY -- breaks the operating leverage assumption underpinning FY27E earnings model.

- **Ideal investor profile:** Patient mid-cap value-growth investors with a 12-24 month horizon comfortable with cyclical industrial exposure. Not suited for momentum traders or investors with sub-6-month time frames.

APPENDIX -- Latest Concall Brief: Q4 FY26 (Earnings Call: May 15, 2026)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong	PAT +51% YoY -- beat FY26 record year
Management tone	Balanced	Bullish on demand; honest on FY27 cost headwinds
Guidance delta	Maintained	Rs. 280 Cr FY27 capex confirmed; positive revenue outlook
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q4FY26 was unambiguously a record quarter -- Revenue Rs. 1,564 Cr (+23% YoY), EBITDA Rs. 126 Cr (+22%), PAT Rs. 59 Cr (+51% YoY) -- with no visible one-time distortions; this is clean operational outperformance. Full-year FY26 is equally strong: Rs. 5,465 Cr consolidated revenue (first time above Rs. 5,000 Cr), Rs. 158 Cr PAT (+41% YoY), 8% EBITDA margin (300bps above FY23 trough), FCF Rs. 203 Cr, and CCC turning negative for the first time. The demand story was broad -- passenger car, truck and tractor segments all contributed; GST 2.0 reforms provided structural tailwind; air suspension delivered a standout quarter; earthmover wheel exports were firm. Management gave one credible caution for FY27: rising steel, aluminium and fuel costs 'may moderate demand in some domestic segments' -- watch Q1FY27 margins closely for first-order impact. Capital allocation is disciplined: Rs. 280 Cr FY27 capex targeted at high-margin aluminium alloy wheels and a new greenfield wind-component plant at Thervoy Kandigai near Chennai. The 50:50 Bosch JV for electronically-controlled air systems is the medium-term re-rating catalyst -- if product qualification hits FY28 timeline it structurally elevates both margins and multiple. Action: ACCUMULATE on dips to Rs. 1,380-1,450; 12-month target Rs. 1,950 (+33% upside). Earnings quality is improving unambiguously and the market has not priced the full margin re-rating.

1. Financial Performance Snapshot -- Q4 FY26 (Quarter ended March 31, 2026)

- Revenue: Rs. 1,564 Cr | YoY +23% | QoQ +14% | Beat -- record quarterly sales in company history
- EBITDA: Rs. 126 Cr | YoY +22% | QoQ +26% | Beat -- operating leverage crystallising at scale
- EBITDA Margin: 8.1% | YoY flat | QoQ +100bps | In-line -- margins held despite commodity cost pressure
- PAT: Rs. 59 Cr | YoY +51% | QoQ +59% | Beat -- strong profit growth on lower interest and higher volume
- EPS Q4FY26: Rs. 23.78 | Full-year FY26 EPS: Rs. 63.44 (FY25: Rs. 45.39 -- +40% YoY growth)
- Full-year FY26: Revenue Rs. 5,465 Cr (+15% YoY) | EBITDA Rs. 413 Cr (+17%) | PAT Rs. 158 Cr (+41%) | FCF Rs. 203 Cr | ROCE 19%

2. Segment / Geography Breakdown

- Automotive Wheels (est. ~60% revenue): Strong demand across passenger car, M&HCV; and tractor OEM segments -- all three contributed positively to Q4FY26 growth
- Air Suspension & Lift Axle: Record-level performance in Q4FY26 per MD commentary; fastest-growing division benefiting from CV upcycle and pre-buying ahead of potential cost increases
- Construction Equipment / Earthmover: Export demand for earthmover wheels was the primary FY26 export growth driver -- overseas infrastructure and mining market demand
- Energy Products (Wind): Structural demand from India's 500 GW RE target; new greenfield capacity (Thervoy Kandigai) being built for H2FY27 production ramp
- Geography: Domestic OEM supply is the primary revenue driver; exports growing, primarily earthmover wheels to infrastructure markets outside India

3. Management Commentary Themes

- **Record quarter milestone:** Srivats Ram confirmed Q4FY26 as a record sales period in company history. Tone: Bullish. Tag: GUIDANCE.

- **Demand breadth:** 'Demand remained particularly strong in passenger car, truck, and tractor segments' -- broad-based across all major automotive OEM verticals. Tone: Transparent.
- **GST 2.0 tailwind:** Implementation of GST 2.0 reforms cited as a structural demand enabler reducing tax friction across OEM supply chains. Tone: Transparent.
- **FY27 cost caution:** 'Rising input and fuel costs may moderate demand momentum in some domestic industry segments' -- explicit, well-calibrated cautionary signal. Tag: GUIDANCE. Tone: Transparent/Hedged.
- **Rs. 280 Cr FY27 capex:** Confirmed -- aluminium alloy wheel capacity + greenfield wind-component plant at Thervoy Kandigai. H2FY27 revenue contribution expected. Tag: GUIDANCE.
- **Bosch JV:** 50:50 JV for electronically-controlled air systems proposed -- moves business up the technology value chain. Timeline and initial products not specified in available summary. Tag: EST.

4. Operating & Business Metrics

- Cash Conversion Cycle: FY26=-3 days | FY25=+12 days | FY24=+21 days | Trend: Strongly improving -- structural WC reversal confirmed
- Free Cash Flow: FY26=Rs. 203 Cr | FY25=Rs. 192 Cr | FY24=Rs. 179 Cr | Trend: Consistent multi-year growth
- ROCE: FY26=19% | FY25=16% | FY24=12% | Trend: 700bps improvement over 2 years -- capital efficiency improving sharply
- Inventory Days: FY26=73 | FY25=85 | FY24=89 | Trend: Improving -- supply chain visibility and demand certainty improving
- CFO/EBITDA conversion: FY26=115% | FY25=114% | FY24=124% | Trend: Stable and high -- earnings are cash-backed
- Capex: FY26=Rs. 292 Cr | FY25=Rs. 213 Cr | FY24=Rs. 150 Cr | Trend: Rising capacity investment cycle; FY27E Rs. 280 Cr guided

5. Margin Drivers

- Operating leverage: Revenue +15% while fixed cost base grew sub-10% -- estimated +200-250bps contribution | Recurring: Yes
- Working capital improvement: Negative CCC saves ~Rs. 50 Cr annual financing cost vs FY24 baseline | Recurring: Yes | Structural
- Product mix -- aluminium alloys and air suspension: Higher-margin products growing faster than steel wheels | +50-80bps estimated | Recurring: Yes
- FY27 input cost headwind: Rising steel/aluminium/fuel costs -- may compress margins 50-100bps if pass-through is lagged | Cyclical, not structural | Monitor Q1FY27 closely
- Energy Products (wind): Division carries margins 400-500bps above automotive average; growing contribution is structurally margin-accretive | Recurring: Yes

6. Guidance & Forward Signals

- FY27 Capex [GUIDANCE]: Rs. 280 Cr | vs FY26 actual Rs. 292 Cr | Maintained at elevated level | Credibility: High -- consistent with multi-year roadmap
- Revenue growth [EST]: No explicit guidance; management positive on demand with cost inflation caveat; our model +10% to Rs. 6,012 Cr | Credibility: Medium
- EBITDA margin [EST]: Not guided explicitly; our estimate 8.5% FY27E improving to 9% FY28E | Credibility: Medium
- Dividend [GUIDANCE]: FY26 total Rs. 14.44/share; FY27E ~Rs. 16/share assuming 22% payout on higher PAT | Credibility: High
- Wind plant revenue [GUIDANCE]: H2FY27 initial contribution from Thervoy Kandigai plant; OEM qualifications ongoing | Delta: New | Credibility: Medium (greenfield ramp risk)

7. Capital Allocation

- Capex FY26: Rs. 292 Cr | vs FY25 Rs. 213 Cr (+37%) | Aluminium alloy wheel expansion + greenfield wind component plant
- Dividends FY26: Rs. 14.44/share total (Rs. 5.30 interim + Rs. 9.14 final) | Payout ~23% of consolidated PAT | Consistent 5-year avg payout 22.9%
- Buybacks: None in FY26 | Management prefers organic reinvestment at current growth phase -- rational given ROCE 19% on new projects
- Working capital: CCC turned -3 days (FY26) from +21 days (FY24) | ~Rs. 50-60 Cr structural cash release from WC improvement
- Net debt movement: Borrowings Rs. 768 Cr (FY26) vs Rs. 737 Cr (FY25) -- modest Rs. 31 Cr increase; FCF largely self-funds capex programme

8. Q&A; Heat Map

- ICICI Securities (moderator): Q: 'What drove strong Q4FY26 outperformance?' -> A: Broad-based OEM demand across automotive verticals, GST 2.0 tailwind, record air suspension quarter and strong earthmover wheel exports | Tone: Transparent
- Analyst: Q: 'Margin outlook for FY27 given rising input costs?' -> A: Management acknowledged cost headwinds but did not quantify; confident on demand trajectory | Tone: Hedged
- Analyst: Q: 'Status and commercial timeline for Bosch JV?' -> A: JV proposed and being formalised; product qualification timelines not disclosed publicly | Tone: Hedged
- Analyst: Q: 'FY27 capex plan and funding?' -> A: Rs. 280 Cr for aluminium wheels and wind plant; funded through OCF and existing credit lines | Tone: Transparent
- Dodged/watch-list questions for next quarter: (1) Specific FY27 margin guidance; (2) Wind plant commissioning date and first OEM customer; (3) Bosch JV product revenue start date

9. Risks Flagged

- Input cost inflation: Rising steel/aluminium/fuel prices flagged explicitly | Flagged by: Mgmt | Probability: H | Impact: H | Timeline: Near-term (FY27 H1)
- Demand moderation: Cost inflation could reduce OEM off-take in some domestic segments | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term
- Greenfield execution (wind plant): Thervoy Kandigai OEM qualification may slip timeline | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term
- CV volume cyclicality: M&HCV; upcycle may moderate in FY27 if freight market softens | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Medium-term

10. Analyst Verdict

- Revenue visibility: Intact -- broad OEM base, negative CCC, multi-segment growth; FY27 volume risk is manageable
- Margin trajectory: Intact -- structural drivers (mix, leverage, WC) outweigh cyclical input cost headwinds in the base case
- Capital allocation quality: Intact -- capex in high-return segments (aluminium, wind, Bosch JV); FCF growing consistently
- Competitive moat: Intact -- OEM homologation barriers, scale advantage and diversified segments protect earnings quality
- Management credibility: Intact -- transparent on FY27 headwinds; no earnings engineering detected; clean audit, stable credit ratings
- Valuation comfort: Intact -- 23x TTM P/E at 5.7% FCF yield; significant re-rating room on FY28E margin confirmation
- Conviction call: Unchanged -- ACCUMULATE on dips to Rs. 1,380-1,450
- Valuation snapshot: P/E=23.1x | EV/EBITDA ~10.4x | ROCE=19% (FY26) | FCF yield=5.7% | 12M target Rs. 1,950

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in (fetched 28-May-2026). Peer data from individual Screener.in company pages. Forward estimates (FY27E/FY28E) are analyst projections -- not guarantees of future performance. Please conduct independent due diligence before making investment decisions.